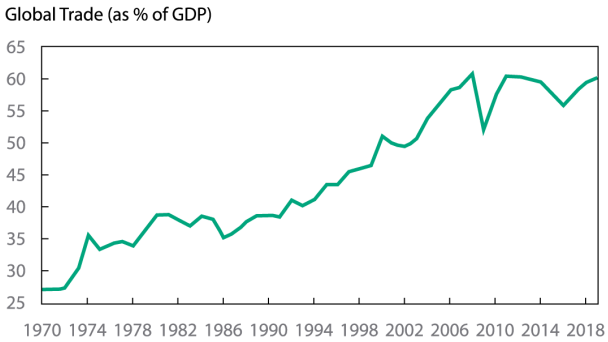
FORCES OF GLOBALIZATION

Learning Outcome

- describe geopolitics and its relationship with globalization

Globalization is the process of interaction and integration among people, companies, and governments worldwide. It is marked by the spread of products, information, jobs, and culture across borders. Indeed, the spread of goods and services across borders has been increasing for decades. The World Bank Openness Index, a key measure of globalization, has risen from 27 percent in 1970 to more than 60 percent in 2019, as shown in Exhibit 4. Since 2008, globalization has experienced headwinds; these include the impact of the Global Financial Crisis, which increased scrutiny of cross-border activity, and the rise in nationalism, which decreased some countries' appetite for using imported products or services. Capacity constraints may also create an important headwind. Global trade cannot make up 100 percent of global economic activity, meaning its expansion may slow even without specific disruptions.

Exhibit 4: Global Trade as Percentage of GDP



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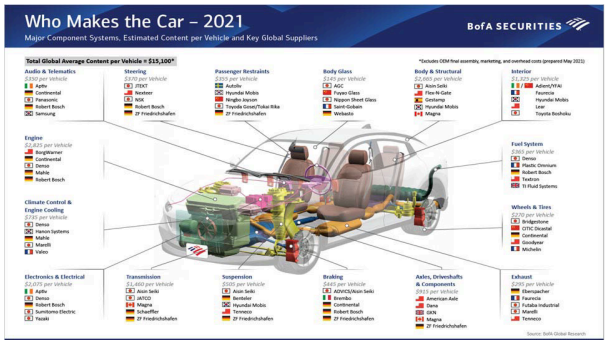
Source: World Bank Open Data, World Bank, https://data.worldbank.org. Trade is defined as imports plus exports in the global economy.

In addition to its macroeconomic impact, globalization is also visible at a microeconomic level. Take, for example, the production of an automobile. A car may be designed in Japan, with electrical parts made in Germany, steering systems designed in the United States, seatbelts manufactured in Sweden, climate system made in Belgium, and vehicles assembled in Mexico. In fact, automobiles are often assembled in one country with parts from all over the world, finished in a second country, and sold in a third (see Exhibit 5). This extensive process provides opportunities for companies to find the best inputs for their product, whether in terms of quality or cost-effectiveness. The process of globalization also opens opportunities for investors worldwide, who may invest in aspects of engineering, production, or even the process of supply chain management and logistics.

Exhibit 5: Production of Automobiles



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Source: Bank of America Merrill Lynch Global Research.

Globalization also has cultural and communicative features. Although it can be difficult to measure these features, such as the spread of information or culture, it is not difficult to see them in our daily lives. A

usage allows for the near-instantaneous spread of cultural information and context.

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Features of Globalization

In the previous section, we considered political cooperation and non-cooperation as one lens through which to consider geopolitical actors—primarily national or state actors. Globalization, by contrast, is the result of economic and financial cooperation. It is carried out mostly by non-state actors, such as corporations, individuals, or organizations.

Globalization is marked by economic and financial cooperation, including the active trade of goods and services, capital flows, currency exchange, and cultural and information exchange. Actors participating in globalization are likely to reach beyond their national borders for access to new markets, talent, or learning. In contrast, antiglobalization or **nationalism** is the promotion of a country's own economic interests to the exclusion or detriment of the interests of other nations. Nationalism is marked by limited economic and financial cooperation. These actors may focus on national production and sales, limited cross-border investment and capital flows, and restricted currency exchange. Exhibit 6 shows a continuum from nationalism to globalization.

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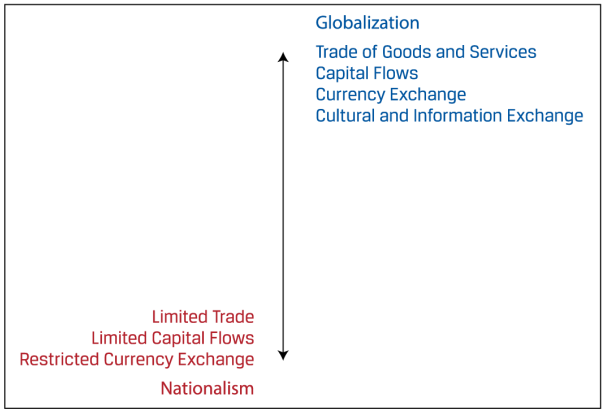
Exhibit 6: Globalization: Economic and Financial Cooperation



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Globalization and cooperation tend to be correlated, meaning that globalization can be facilitated or accelerated by political cooperation, but globalization is also an independent process. Organic private sector forces can drive the exchange of products or ideas even without government support or harmonized rules.

EXAMPLE 4

Features of Globalization

1. Fill in the blanks using the following words: *government*; *private sector*; *national*; *subnational*.

Although political cooperation and non-cooperation can be driven by____ actors, globalization as the result of economic and financial cooperation is carried out mostly by_____ actors, such as corporations, individuals, or organizations. Organic _____ forces can drive the exchange of products or ideas even without _____ support.

Hide Solution

Solution:

Although political cooperation and non-cooperation can be driven by *national* actors, globalization as the result of economic and financial cooperation is carried out mostly by *subnational* actors, such as corporations, individuals, or organizations. Organic *private sector* forces can drive the exchange of products or ideas even without *government* support.

EXAMPLE 5

Features of Globalization

1. True or False: Globalization is primarily carried out by governmental actors.

Explain your reasoning.

A. True
B. False

corporations, individuals, or organizations, and is the result of economic and financial cooperation. Multinational corporations, for example, want a competitive advantage leading them to seek new markets, talent, and learning as well as trade, capital, currency, and cultural and information exchange. Corporate outsourcing of talent is an example of globalization.

Motivations for Globalization

Non-state actors, such as companies and investors, who choose to participate in globalization consider three potential gains:

- Increasing profits
- Access to resources and markets
- Intrinsic gain

Increasing Profits

Profit can be increased by two means: increasing sales or reducing costs.

Increasing sales

The opportunity to generate higher profits may motivate companies to globalize. The first way to generate profit is to increase sales. Companies may choose to engage in globalization in order to access new customers for their goods and services. This process may require extensive investment, including acquiring or building property, plant, and equipment in the local market. It may also require hiring workers in new markets and offering training directly benefiting the countries involved.

Reducing costs

Another way to increase profits is to reduce costs. Globalization allows companies to access lower tax-operating environments, reduce labor costs, or seek other supply chain efficiency gains, all of which are cost-reduction measures. Of course, increasing sales and reducing costs can be closely intertwined. The consolidation of the global automobile industry is one instructive example. For capital-intensive production processes, companies experience economies of scale, reducing average costs, by producing more. By consolidating, automakers can benefit from a global sales opportunity while reducing costs per auto sold.

Access to Resources and Markets

In “Motivations for Globalization,” we described the economic interest countries may have to cooperate, including access to resources. The same may be true of non-state actors, such as companies, seeking sustainable access to resources, such as talent or raw materials. If those resources are not readily available or affordable in the home country, then the non-state actor may globalize to improve access.

A non-state actor may also seek market access or investment opportunities abroad. For example, a country experiencing low domestic market returns and increasing wealth may experience a higher propensity to accept cross-border risk—a catalyst for seeking returns abroad. For investment professionals, there are two important types of flows. **Portfolio investment flows** are short-term investments in foreign assets, such as stocks or bonds. Alternatively, **foreign direct investments (FDI)** are long-term investments in the productive capacity of a foreign country. These concepts will be covered in more detail elsewhere in the curriculum.

As appetite for cross-border investment has increased, such globalizing actors as companies and organizations (i.e., industry groups, NGOs, or charitable organizations), have established processes for facilitating those needs, including foreign exchange, accounting services, and global investment management services. This globalizing force, while an independent one, has been facilitated and strengthened over time by the harmonization of foreign exchange markets and investment practices.

Intrinsic Gain

Intrinsic gain is a side effect or consequence of an activity that generates a benefit beyond profit itself. It is difficult to measure but contributes to globalization’s momentum. It can also be a stabilizing force, increasing empathy between actors and reducing the likelihood that a geopolitical threat is levied. One example of intrinsic gain is the personal growth or education that individuals may receive from expanding their horizons, experiencing new places, or learning new ideas. Another example is accelerated productivity from learning new methods.

Regardless of the motivation for globalization—profit driven or intrinsically driven—these processes and investments can have multiplicative effects. As globalization deepens, companies develop standards and processes to incorporate multiple cultures into their overall corporate culture. They must cooperate with multiple sets of rules, and they may establish standard procedures based on the groups of companies in which they operate.

While these factors provide important motivating forces for globalization, they are not the only benefits of globalization. The process of reducing barriers between global businesses and organization can also provide aggregate economic benefits, such as increased choice, higher quality goods, increased competition among firms, higher efficiency, and increased labor mobility.

discussed in the following sections.

Unequal Accrual of Economic and Financial Gains

Economic theory tells us that aggregate economic activity is improved when all actors seek profit maximization and efficiency. However, improvement on the aggregate does not mean improvement for everyone. If a company moves a factory to another country, it creates jobs in the new country but reduces them at home, while firms in the new country may have to compete with the foreign firm for labor. Some actors will benefit from this exchange, but others may suffer.

Lower Environmental, Social, and Governance Standards

Companies operating in lower-cost countries often operate in the local standards of those countries. If standards on environmental protection, social benefits, or corporate governance are lower in one country compared with another, and companies ultimately reduce their standards of production in that context, then globalization can create a drain on human, administrative, and environmental resources. The more measurable corporate profit factor may show a gain, but the overall effect of that activity may be negative. For example, many European countries have stricter standards on carbon emissions than those elsewhere in the world. Imagine that a European-based company decides to produce in a different country with lighter environmental regulations and cheaper labor costs. If the company decides to act according to local standards rather than its home country standards, it may make more profit but reduce environmental quality.

Political Consequences

These two costs can create a third cost of globalization: the political consequences of global expansion. While some individuals may enjoy global exposure, others may fear it. While some countries may benefit from improved labor force utilization, others may lose jobs as a company moves abroad. Therefore, globalization can contribute to income and wealth inequality, as well as differences in opportunity, within and between countries. These dynamics can manifest in countries' local politics, resulting in a force not only for reduced political and economic cooperation but also for a rollback in political cooperation.

Interdependence

Through the process of greater economic and financial cooperation, companies may become dependent on other countries' resources for their supply chains. On aggregate, this can result in the nation becoming dependent on other nations for certain resources. If there is a disruption to the supply chain, including through a moment of political non-cooperation, then firms may not be able to produce the good themselves. Commodities production illustrates this potential risk. Rare earth metals, used for light-emitting diode (LED) lights and most electronic displays, are largely produced in China. Copper, essential for renewable energy construction, is largely produced in Chile. Disruptions to production in these countries, including mining accidents or floods, can disrupt entire industries relying on those resources.

The COVID-19 Pandemic and Supply Chain Shortages

The COVID-19 pandemic, which began in late 2019 and reached global impact in 2020, provides an interesting example of how geopolitical disruptions can impact companies' supply chains and countries' access to important resources. In the early months of 2020, many countries enforced stay-at-home orders in hopes of protecting their citizens against the pandemic's spread. As a result, demand for many goods and services collapsed and manufacturing activity was restricted, resulting in a significant slowdown in production of many goods and services. Even as production resumed, the impact of production slowdown had ripple effects across industries.

Semiconductors were one such product. Semiconductor production is highly concentrated in China and is very important to the automobile industry. The chips are used for fuel-pressure sensors, navigation displays, and speedometers, among other automotive devices. Gradually, as the pandemic wore on, mobility began to improve, but supply remained constrained. The result was a severe shortage of semiconductor supply, which contributed to high and rising prices for new, used, and rental automobiles in many countries across the world. This dependence of a global industry on one country's production illustrates how interconnected supply chains can create important financial risks. Additionally, the effects of the semiconductor shortage soon moved beyond the automobile industry, as other industrial players struggled to secure chips for their devices.

The experience of the COVID-19 pandemic built upon preexisting challenges to global supply chain management. Supply disruptions revealed the pitfalls of overreliance on any single production location. Corporates found their supply chains were fragile as inputs sourced from foreign countries became unavailable or manufacturing moved offshore suddenly fell victim to lockdown orders.

Threats of Rollback of Globalization

The threat of deglobalization has grabbed headlines since 2018 when the Trump administration began a series of "America first" policies. Rooted in nationalism, isolationism, and concerns for national and economic security, trade wars escalated in fits and starts for several years. Targets evolved to include not only countries traditionally seen as US competitors but also long-standing allies, such as the European Union, through tariffs on imported products, and Canada and Mexico, through a renegotiation of the North

Indeed, the impact of political non-cooperation on multinational companies is significant. Global design, manufacturing, and distribution systems are complex, making a change in the rules—such as a restriction on the free movement of goods and services—burdensome, which raises questions about profitability and efficiency. Multinational corporations are accustomed, however, to the political and operational risks of international production. This makes management rightfully slow to change carefully engineered processes over political disputes that eventually may be cleared up.

Despite the deglobalization discussion, completely reversing globalization seems unlikely. Instead, companies are likely to use a combination of the following tactics to fortify their supply chains:

1. *Reshoring the essentials:* Shortages of prescription medication, personal protective equipment, and other essential items during the pandemic highlighted the need for certain "essential" supply chains to be rebuilt domestically for emergency situations. Companies seeking to reduce manufacturing and procurement risk may relocate back to their home countries.
2. *Reglobalizing production:* The same concerns about production disruptions, rising labor costs, or political risk may instead prompt companies to duplicate or fortify their supply chains.
3. *Doubling down on key markets:* China has been the focus of US trade concerns, but the political risk is unlikely to change the need for some globalization. Not all manufacturing would be able to move outside of such key markets as China, Canada, and Mexico, particularly for companies that also seek to sell to those markets. While labor costs in some trading partners have risen over time, so too has the productivity of those workers. Add large market size, physical infrastructure supporting coordination, sophisticated supply chains, and the investment required to rebuild supply chains elsewhere, and some companies may consider doubling down on key markets. Developing production "In country, for the country," in combination with external supply chains, may be required.

Question Set

1. Which of these actions would do the most to increase geopolitical risk?

   A. Increase capital flows
   B. Restrict foreign currency exchange
   C. Engage in trade of goods and services

   Hide Solution

   Solution:

   B is correct. Restricted foreign currency exchange—a characteristic of antiglobalization—would likely reduce political and economic cooperation and thus increase geopolitical risk. A is incorrect because an increase in capital flows would reduce geopolitical risk. C is incorrect because an increase in trade would reduce geopolitical risk.

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